Illustration 18

Bharathi does not maintain her books of accounts under double entry system. From the following details prepare trading and profit and loss account for the year ending 31st March, 2019 and a balance sheet as on that date.

Dr. **Cash Book** **Cr.**

Receipts	₹	Payments	₹
To balance b/d	32,000	By Purchases A/c	56,000
To Sales A/c	1,60,000	By Creditors A/c	80,000
To Debtors A/c	1,20,000	By General expenses A/c	24,000
		By Wages A/c	10,000
		By Balance c/d	1,42,000
	3,12,000		3,12,000

Other information:

Particulars	1.4.2018 ₹	31.3.2019 ₹
Stock of goods	40,000	60,000
Debtors	38,000	?
Creditors	58,000	52,000
Machinery	1,70,000	1,70,000

Additional information: ₹

(i) Credit purchases 74,000

(ii) Credit sales 1,40,000

(iii) Opening capital 2,22,000

(iv) Depreciate machinery by 10% p.a.

Solution

In the books of Bharathi

Dr. **Total debtors account** **Cr.**

Particulars	₹	Particulars	₹
To Balance b/d	38,000	By Cash A/c (received)	1,20,000
To Sales A/c (credit)	1,40,000	By Balance c/d (balancing figure)	**58,000**
	1,78,000		1,78,000
To Balance b/d	58,000		

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